

Table 42.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height by subtracting the neckline value from the highest high reached in the head, measured vertically. Subtract the result from the breakout price. The result is the target price. The bottom portion of the table shows how often the measure rule works.
Launch price	If the formation looks like a mountain suddenly appearing out of a flat plain, price may return to the launch price. Figures 42.2 and 42.5 show examples.
Wait for confirmation	If a simple head-and-shoulders pattern confirms, consider trading it without waiting for the complex top to confirm. Place a short trade or sell any long commitments. This formation rarely disappoints, and the decline is above average.
Stop location	Look for resistance areas near the neckline. The shoulder tops and head also represent good locations for stop-loss orders.
Busted trade	See Table 42.9 for details. In bull markets, single busted patterns can be quite profitable.
Tips	See text.

Description	Bull Market	Bear Market
Percentage reaching half height target	72%	72%
Percentage reaching full height target	47%	46%
Percentage reaching 2× height	18%	18%
Percentage reaching 3× height	8%	10%

For a check of how many patterns will fail to reach the target, convert the height of the pattern into a percentage of the current price (in our example, that's 4.63/25.75 or 18%). [Table 42.3](#) says that in bull markets, 68% will fail to see price drop more than 20% (the closest to our 18%).